

Semester 2 Term 3 Unit 2: Macroeconomic Objectives, Aggregate Expenditure and Economic Growth

Assessment 7: Mark Scheme

QUESTION 1

a. Describe the components of Aggregate Expenditure.	MARKS ALLOCATED 8
DEFINE Aggregate Expenditure (AE) - <i>the current value of all the finished goods and services in the economy.</i> DEFINE Consumption (C) – (planned) purchase of domestically produced goods and services for the satisfaction of consumer wants. - Description/explanation – Any description relating to expenditure on type goods. Eg durable, non-durable goods. DEFINE Investment (I) – (planned) expenditure on capital goods such as equipment, plants as well as additions to stocks of raw materials and intermediate goods. - Description / explanation – Any description relating to expenditure on types of investment. Eg, Fixed, residential fixed, business inventories. DEFINE Government expenditure (G) – (planned) spending by the government on goods and services. - Description / explanation – Any description relating to G1 and/or G2. Or spending related to the fiscal budget. DEFINE Net exports (X-M) - The value of goods and services sold to the rest of the world, minus the value of goods and services bought from rest of the world - Description / explanation – Any description relating to how import exp and export revenue are linked to domestic and foreign income levels respectively.	1 mark 4 components: 2 marks each. (4x2 + 8 marks) 1 mark: Definition of component 1 mark: Description Total: 8 marks (+1 mark)
b. Describe the factors affecting consumption and investment. Explain why investment expenditure is more volatile than consumption expenditure.	MARKS ALLOCATED 12
Factors affecting Consumption Expenditure - Price expectations - Economic outlook - Accessibility of credit - Interest rates	4 factors to be identified: 2 factors that affect consumption; 2 factors that affect Investment 2 marks for each factor: (4 x 2) = 8 marks

Factors affecting Investment Expenditure 1. Business expectations 2. Infrastructure 3. Technological change 4. Interest rates <i>Explanation as to why investment expenditure is more volatile than consumption expenditure</i> 1. Investment: Involves risk. Investment rises and falls due to perceived risk for the future. Rendering it more volatile especially due to expectations. 2. Consumption: A proportion of income spent on goods and services may not be dependent to changes in income. This expenditure is usually for necessities and debt obligations. Hence, because a proportion of income is not sensitive to changes to income, consumption expenditure as a component of AE tends to be relatively more stable.	Consumption expenditure: 1 mark for factor 1 mark description/explanation Investment Expenditure: 1 mark for factor 1 mark description/explanation 2 points: 1 relating to Investment, 1 relating to Consumption 4 marks: 2 marks for Investment 2 marks for Consumption. Total: 12 marks
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Question 2:

a. Some countries have abandoned the use of the change in GDP as the measure of economic growth and have moved to other measures of welfare, like the Gross National Happiness (Bhutan). Explain why there are problems in the use of change in GDP as a measure of economic growth and welfare.	MARKS ALLOCATED 10
DEFINE Economic growth DEFINE Gross Domestic Product (GDP) Explain why <u>a change in GDP</u> is used as a measure for growth: Indicates improvements in <u>material welfare</u> Problems in the use of measures of economic growth (Eg, GDP – material indicator) 1. GDP (nominal) does not take into account price changes. Need Real GDP, a measure that is adjusted for price changes 2. GDP (Nominal) does not take into account change in population size (or differences in population size across space) – Need Per capita measures that takes into account size of population 3. GDP does not take into account distribution of income. Need the Gini coefficient to assess income distribution Problems with capturing <u>Non material aspects</u>: An increase in GDP (economic growth) may indicate improvements in material welfare but could lead to worsening non-material standard of living (SoL) 4. An increase in GDP may be due to increased working hours. This may mean less time for leisure and higher levels of exertion and stress. 5. An increase in GDP may mean higher levels of pollution due to increased level s of production. This may lead to contamination of the environment leading to illness. 6. Changes in GDP may not necessarily reflect the quality of goods produced. Assuming for domestic consumption may result in worsening SoL if there is a decline in quality of goods and services produced.	1 Mark 1 Mark 2 marks for each point - one mark for identifying and outlining and one mark for explaining Total: 10 marks
b. Evaluate the costs and benefits of economic growth.	MARKS ALLOCATED 10
TWO BENEFITS OF GROWTH – Link to material and /or non-material welfare • Improved material living standards – e.g. the quality and quantity of consumer goods produced increases, improved health and nutrition and longer life expectancy. • Increased leisure time – as more can be produced from the same volume of inputs, then more leisure should be available	4 points total – 2 benefits and 2 costs 2 marks for each point (4 x 2marks= 8marks) 1 mark - identifying benefit / cost.

• Increased employment opportunities – because structural change releases labour to perform different productive tasks. • Improved government budget - more can be directed toward public goods, merit goods, infrastructure, as well as welfare expenditure. Improvements in social welfare and community infrastructure. Improves Standard of living. Or any other reasonable explanation. TWO COSTS OF ECONOMIC GROWTH- Link to material and /or non-material welfare • Externalities – these are indirect or unintended effects of the production process, and include air and water pollution, soil degradation and traffic congestion. In theory, economic growth should provide the resources to care for the environment. • Structural unemployment – in the short run, economic growth may cause structural unemployment which is especially harsh on certain groups, e.g. the older workers and the young or unskilled • Inflation (Demand-Pull) – Increases in agg. demand due to economic growth may lead to demand pull inflation. This is especially true with high growth rates. • Market concentration – economic growth combined with structural change may lead larger companies into dominant market situations, i.e. monopolies Or any other reasonable explanation	1 mark – explanation / elaboration Evaluation: 2 marks for an overall evaluation. Any overall observation: Eg. As long as overall benefits exceed costs, governments may use additional tax revenue to implement policies to minimise impact of costs. Eg. Measures to address impact of industrial pollution. Training programmes to help those structurally unemployed. Total: 10 (8+2) marks
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